1.2 Market

Subject content	What students need to learn:
1.2.1 Demand	a) Factors leading to a change in demand: o changes in the prices of substitutes and complementary goods o changes in consumer incomes o fashions, tastes and preferences o advertising and branding o demographics o external shocks o seasonality
1.2.2 Supply	a) Factors leading to a change in supply: o changes in the costs of production o introduction of new technology o indirect taxes o government subsidies o external shocks
1.2.3 Markets	a) The interaction of supply and demand b) The drawing and interpretation of supply and demand diagrams to show the causes and consequences of price changes
1.2.4 Price elasticity of demand	a) Calculation of price elasticity of demand b) Interpretation of numerical values of price elasticity of demand c) The factors influencing price elasticity of demand d) The significance of price elasticity of demand to businesses in terms of implications for pricing e) Calculation and interpretation of the relationship between price elasticity of demand and total revenue
1.2.5 Income elasticity of demand	a) Calculation of income elasticity of demand b) Interpretation of numerical values of income elasticity of demand c) The factors influencing income elasticity of demand d) The significance of income elasticity of demand to businesses